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SEBI/CFD/DIL/DIP/12/2004/8/4
April 8, 2004

To All Registered Merchant Bankers

Dear Sirs,

Sub: Amendments to the SEBI (Disclosure and Investor Protection){DIP} Guidelines,2000

1. As a part of its constant endeavor to ensure transparency and efficiency in the market and also to streamline and simplify the existing procedures, SEBI has been reviewing the guidelines on an ongoing basis. In this regard, the feedback received from market participants as well as policy recommendations made by the committees set up by SEBI are taken into consideration.

2. The SEBI Board, after considering the above, has approved certain modifications to be incorporated in the captioned Guidelines.

3. Accordingly, SEBI, under the provision of Section 11(1) of SEBI Act, is hereby issuing the amendments to SEBI (DIP) Guidelines, 2000; incorporating the modifications approved by the SEBI Board, as stated above. The amendments are detailed in Annexure I and are categorized as follows:

4. Guidelines for Issue Advertisements.

4.1 It is observed that in the case of issue advertisements on television, the risk factors scroll the screen so fast that they are not readable / legible. In place of the same, a statement advising the prospective investors to refer to the Red Herring Prospectus / Offer document for details, should appear.

5. Introduction of the facility of Shelf Prospectus

5.1 As per Sec.60A of the Companies Act, 1956, the facility of shelf prospectus can be availed of by specific entities like public sector banks, scheduled banks and public financial institutions. The DIP guidelines have been amended to provide for the same.

5.2 These entities can file a draft shelf prospectus with SEBI in the first instance disclosing the aggregate amount the issuer intends to raise through various tranches. There is no variation from the existing requirements, as regards the procedure for filing and documents to be submitted therewith.

5.3 SEBI will issue observations on the draft shelf prospectus, which would be valid for 365 days. Subsequently, for each tranche, the permitted entities would be required to file the shelf prospectus after incorporating the updations in terms of Information Memorandum with SEBI. They can proceed with the tranche without waiting for observations of SEBI. If there are any complaints etc., they would be required to address the same to the satisfaction of SEBI.

6. Guidelines for Preferential Issues

6.1 The guidelines pertaining to preferential allotment have been amended to restrict sale of shares by shareholders who are allotted shares on preferential basis, to impose lock-in on pre preferential shareholding from the relevant date till six months after date of allotment, to reduce the period for allotment from existing 30 to 15 days, to facilitate corporate debt restructuring schemes etc. Details of the same are given in Point VI in the Annexure.

7. Miscellaneous Amendments

7.1 Certain consequential amendments have been carried out, pursuant to redefinition of retail individual investor vide circular dated 14.8.2003 and withdrawal of stock invests facility by Reserve Bank of India

8. Applicability

8.1 The amendments shall come into force with immediate effect.

9. Other issues

9.1 You are directed to ensure compliance with the provisions of SEBI (DIP) guidelines 2000 and amendments thereof. This circular along with the annexure is available in SEBI website at www.sebi.gov.in. Full text of SEBI (DIP) guidelines 2000 including the amendments issued vide this circular is also available in SEBI's web site under Primary Market Section.

9.2 SEBI is in the process of issuing digitally signed circulars to intermediaries. In this regard, all registered merchant bankers are advised to communicate the e-mail ids to the Division of Issues and Listing (email to ushar@sebi.gov.in) so that their email ids can be registered on the server for establishing relevant mailing list. Thereafter you may check your email accounts periodically as physical dispatch of circulars may be discontinued in due course.

Yours faithfully,

NEELAM BHARDWAJ

Encl.: a/a

ANNEXURE I

AMENDMENTS TO SEBI (DIP) GUIDELINES, 2000

I. Chapter I – Preliminary

In clause 1.2.1, after sub-clause (xxvi), the following sub-clause (xxvi-a) shall be inserted, namely : -

"(xxvi-a) 'shelf prospectus' means a shelf prospectus within the meaning of clause (b) of the Explanation to section 60A of the Companies Act, 1956."

II. Chapter VII – POST – ISSUE OBLIGATIONS

(1) **Clause 7.4.1.1 shall be omitted.**

(2) The heading of clause 7.6.1.2 shall be substituted by the following, namely-

"7.6.1.2 Reservation for Retail Individual Investor".

(3) In clause 7.6.1.2.1, the words "small individual applicants" shall be substituted by the words "retail individual investors".

III. Chapter VIII – OTHER ISSUE REQUIREMENTS

(2).In clause 8.21.1, the following proviso shall be inserted, namely:-

"Provided that nothing in this clause shall apply to shelf prospectus"

IV. Chapter IX -GUIDELINES ON ADVERTISEMENTS

After clause 9.1.8, the following clause shall be inserted, namely :

"9.1.8A In case of issue of advertisement on television screen :

(a) the risk factors shall not be scrolled on the screen; and

(b) the advertisement shall advise the viewers to refer to the red herring prospectus or other offer document for details."

V. Guidelines for Shelf Prospectus

After Chapter XII, a new Chapter XII-A shall be inserted as follows:

“CHAPTER XII-A

SHELF PROSPECTUS

12A.1 **Applicability**

(a) This Chapter shall apply to issues of debt securities to be made by public sector banks, scheduled commercial banks and public financial institutions pursuant to a shelf prospectus proposed to be issued in terms of section 60A of the Companies Act, 1956.

(b) Unless otherwise specified in this Chapter, the provisions of these Guidelines relating to public issues shall apply in respect of such issues.

12A.2. **Procedure**

12A.2.1 A public sector bank, scheduled commercial bank or public financial institution proposing to issue a shelf prospectus shall file a draft shelf prospectus with the Board.

12A.2.2 Where a draft shelf prospectus is filed with the Board, the provisions of Chapter V of these Guidelines shall apply as if it were a draft prospectus filed under clause 2.1.1.

12A.2.3 The shelf prospectus shall, in addition to other requisite disclosures as per these Guidelines, also disclose the aggregate amount proposed to be raised through all the stages of offers of securities made under the shelf prospectus.

12A.2.4 The observation letter issued by the Board shall be valid for a period of 365 days from the date of issuance.

12A.3 **Information memorandum**

12A.3.1 A public sector bank, scheduled commercial bank or public financial institution shall file the shelf prospectus after incorporating the updations in terms of information memorandum in respect of the second or any subsequent offer of securities with the Board.

12A.3.2 The shelf prospectus as updated in terms of Clause 12A.3.1 shall be uploaded on the website of SEBI and on the website of the lead merchant banker.

12A.3.3 The public sector bank, scheduled commercial bank or public financial institution shall open the particular stage of offer of securities after filing the information memorandum/shelf prospectus as updated in terms of Clause 12A.3.1 with the Registrar of Companies and with the Board."

VI. <u>Chapter XIII – GUIDELINES FOR PREFERENTIAL ISSUES</u>

1. In clause 13.3.1 -

(i) in sub-clause (c), the words "except on such allotments on preferential basis which involve swap of equity shares / securities convertible into equity shares at a later date, for acquisition" shall be omitted.

(ii) after sub-clause (d), the following sub-clauses shall be inserted, namely : -

"(e) the lock-in period in respect of the shares issued on preferential basis pursuant to a scheme approved under Corporate Debt Restructuring framework specified by Reserve Bank of India, shall commence from the date of allotment and shall continue for a period of one year and in case of allotment of partly paid up shares the lock-in period shall commence from the date of allotment and continue for a period of one year from the date when shares become fully paid up.

(f) no listed company shall make preferential issue of equity shares, warrants, PCDs, FCDs or any other financial instruments convertible into or exchanged with equity shares at a later date, to any person unless the entire shareholding if any, of such person in the company is held by him in dematerialized form.

(g) where the shares, warrants, PCDs, FCDs or any other financial instruments convertible into or exchanged with equity shares at a later date, are issued on preferential basis, the entire pre preferential allotment shareholding of such allottees shall be under lock – in from the relevant date upto a period of six months from the date of preferential allotment.

(h) where the shares, warrants, PCDs, FCDs or any other financial instruments convertible into or exchanged with equity shares at a later date, are issued on preferential basis, the shareholders who have sold their shares during the six months period prior to the relevant date, as applicable, shall not be eligible for allotment of shares on preferential basis."

2. In clause 13.4.1,

(i) the words 'three months' appearing after the words 'within a period of' and before the words 'from the date of' shall be substituted by the words 'fifteen days';

(ii) the following proviso shall be inserted, namely : -

"Provided that where the allotment on preferential basis is pending on account of pendency of any approval of such allotment by any regulatory authority or the Central Government, the allotment shall be completed within 15 days from the date of such approval."

3. After clause 13.4.2, the following clause shall be inserted, namely -

"13.4.2A Nothing contained in clauses 13.4.1 and 13.4.2 shall apply in case of allotment of shares and securities convertible into equity shares at a later date on preferential basis pursuant to a scheme of corporate debt restructuring as per the Corporate Debt Restructuring framework specified by the Reserve Bank of India".